FinTech Research Report: How Groww Uses Data Analytics

Week 2 | Educational research, not investment advice

1. Overview

Groww, run by Billionbrains Garage Ventures Limited (NSE and BSE: GROWW), is an Indian digital investment platform that offers stock broking, mutual funds, ETFs, derivatives, commodities, bonds, fixed deposits, lending and wealth management to retail investors. It was founded by Lalit Keshre, Harsh Jain, Neeraj Singh and Ishan Bansal, and marked 10 years of operations in 2026. It is India's largest direct mutual fund platform by AUM and among the largest brokers by active clients.

2. Scale and Performance (quarter ended 30 June 2026)

Metric (Q1 FY27)	Value	Metric	Value
Revenue from operations	₹1,501 crore (+66% YoY)	Transacting users	2.24 crore (+24% YoY)
Net profit (PAT)	₹735 crore (+94% YoY)	Active users	1.7 crore
Customer assets	~₹3.6 lakh crore (+38% YoY)	Direct MF AUM	₹1.9 lakh crore
Net new NSE active clients	+1.15 lakh (industry: −2.57 lakh)	Commodity derivatives	4.35 lakh active users

Full-year FY26 revenue was ₹4,644.58 crore. Management describes the shift as moving from an execution platform to a wealth management company. One caution from the same call: active derivative customers dipped slightly, and the Fisdom acquisition has not yet shown meaningful revenue.

3. Where Groww Fits in the Market (trading lifecycle)

- **Order:** the investor places a buy or sell order in the app. Groww acts as the broker, regulated by SEBI and a member of the exchanges.
- **Execution:** the order goes to NSE or BSE, where it is matched with a counter-order.
- **Clearing and settlement:** the clearing corporation guarantees the trade, and settlement completes on T+1 (the next working day) in India.
- **Holding:** shares are credited to the investor's demat account, held with a depository (NSDL or CDSL) through a depository participant.

Every step produces data (order IDs, timestamps, prices, statuses), which is the raw material for analytics.

4. How Analytics Improves Customer Experience and Business Decisions

Documented by Groww: co-founder Harsh Jain has said the app personalises the experience by investor profile, for example a first-time investor completing KYC sees a different flow from one tracking outside investments, and the company uses machine-learning image processing to speed up KYC. Groww also reports operating metrics (active clients, transacting users, customer assets, market share in commodities, net inflows) that guide its product investments.

Typical industry use (not confirmed by Groww, shown as how a platform like this would apply analytics): the table below maps common use cases to the data and decisions involved.

Analytics use case	Data used	Metric tracked	Business decision
Personalised experience	Investor profile, KYC status, holdings, browsing	Activation rate, feature adoption	Show a new investor onboarding steps; show an existing investor portfolio tools

Onboarding funnel	Signup, KYC, bank-link, first-trade events	Step-wise drop-off, time to first trade	Simplify the step where most users quit
Retention and churn	Login frequency, trade frequency, inactivity	30-day retention, active clients	Trigger reminders or offers to users going inactive
Product mix	Orders and AUM by product	Revenue per user, product share	Invest in growing lines (commodities, MTF, bonds)
Risk and fraud	Login patterns, order size, fund transfers	Alerts, failed or reversed payments	Block suspicious activity; set margin limits

5. What a Data Analyst Could Build

- **Funnel dashboard:** signup to KYC to first deposit to first trade, with drop-off at each step.
- **Cohort retention:** percentage of users still trading 30, 60 and 90 days after joining, by acquisition month.
- **Revenue per user:** split by product, to show which lines drive profit.
- **Market-condition view:** how trading volumes move with Nifty and Sensex swings, to plan server capacity and campaigns.

6. Challenges

- **Privacy and security:** financial and KYC data is highly sensitive; India's DPDP Act 2023 and SEBI rules limit how it may be used.
- **Market dependence:** activity and revenue rise and fall with market conditions, so trends must be read against the market cycle.
- **Industry pressure:** the sector lost active clients in the quarter, so retention matters as much as acquisition.

7. Conclusion

Groww's growth shows how a data-first platform can win customers through simple onboarding, personalisation and a widening product range. For a data analyst, the key skills are tracking the funnel, measuring retention and linking product usage to revenue. This report is for learning only.

Sources: Groww Q1 FY27 results coverage (PTI via HDFC Sky, Kotak Neo, Muthoot Securities, DSIJ, July 2026); Q1 FY27 earnings call transcript (GuruFocus); YourStory, 'How Groww leverages technology' (2019). The analytics table's industry examples are my own illustration. Verify all figures against Groww's investor relations filings before submitting.